



Best Trade Setups Playbook Notes

USDJPY

**Stacey Burke
2022**

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“Although the cheetah is the fastest animal in the world and can catch any animal on the plains, it will wait until it is absolutely sure it can catch its prey. It may hide in the bush for a week, waiting for just the right moment. It will wait for a baby antelope, and not just any baby antelope, preferably one that is sick or lame. Only then, when there is no chance it can lose it’s prey, does it attack. That, to me, is the epitome of professional trading.”

Mark Weinstein
Market Wizard

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Under certain market conditions, you may find it difficult or impossible to liquidate a position. This can occur, for example, when the market makes a “limit move.” The placement of contingent orders by you, such as a “stop-loss” or “stop-limit” order, will not necessarily limit your losses to the intended amounts, since market conditions may make it impossible to execute such orders.



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Glossary

HOW	high of week
LOW	low of week
HOD	high of day
LOD	low of day
HOS	high of session
LOS	low of session
MR	major resistance
MS	major support
IB / ID	inside bar / inside day
PFH	peak formation high
PFL	peak formation low
HB	high bull
LB	low bear
BIS	break in structure
MRD	major red news
OR	opening range (Monday)
In B	initial balance (Monday - Tuesday)
PnD	pump and dump
DnP	dump and pump
LHF	low hanging fruit
FB	false break

For color reference of SESSION timing windows on chart examples:

ASIA	EUROPE / LONDON	NEW YORK
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Stacey Burke

**High Probability
BEST TRADE SETUPS Playbook**

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Introduction

High Performance Trading Mindset

Trading is the most competitive “dog eat dog” profession there is on the planet. You are competing against professionals that in most cases are the best educated, the best equipped, extremely competitive, (many come from high level competitive sporting backgrounds), they have access to better information, better technology and in some cases unlimited capital resources.

Trading is the greatest profession there is. You can work from anywhere in the world, in any time zone you want, and make an unlimited amount of income.

Why is it then, that so many traders fail miserably, over and over again and lose all of their hard earned money?

I have been trading for over 20 years in the markets and have made every mistake a trader can make.

I have blown out several accounts over the years and learned some very hard, painful lessons.

What changed for me?

I had been able to successfully build up several small accounts but would repeat the same cycle over and over again. Overleveraging, overtrading, impulsive trading, emotional trading, no risk control, no routine, no process, no *specific* trading plan, and the list goes on.

Discipline

I considered myself to be extremely disciplined. I come from a competitive sporting background of ice hockey, football and triathlon. I have competed in two Hawaii Ironman World Championships. I only tell you this to give you an idea of the type of mindset I possess. Focus and persistence were not lacking, my dedication to my craft was there, my study and chart time was endless.

Why Couldn't I Succeed At Trading

I tried everything. End of day trading, short term trading, swing trading. It didn't matter what I seemed to do. A few winners, a few losers, but never really seemed to be going anywhere. And only with small lot sizes.

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After years of study and some of the best education I could get I still wasn't going anywhere. **WHY NOT?**

You Don't Know What You Don't Know

I thought I knew a lot about the market. How to buy low and sell high. The only problem was I wasn't making any money from trading.

I Was Trying To Trade The Moves

I would get chopped up chasing movement, and then miss the big move the next day or two days later. I would lose all my profits, I would be beat down emotionally and psychologically, and I would miss the "easy trade," because I was too scared to take the trade.

How was I ever going to become not only a full-time trader, but a multi-millionaire trader?

My **BIGGEST** breakthrough came when I realized there were big explosive days that were huge moves, (that I usually missed!)

I thought to myself, why didn't I see that trade? What if I only took trades that looked like that? Seems like common sense, yet I would continue to try and "trade the market."

I didn't have a concrete trading plan. Based on trading a specific time, and very specific trading setups. Not just "trading." **Very specific High Probability Trading Setups.**

My PLAYBOOK BEST TRADING SETUPS

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What I have narrowed this book down to is the highest probability Best Trading Setups. Not just trading setups, but the ones that I feel have ***heavily skewed the odds*** in my favor. (90/10)

Trades that have a risk reward that allows me to profit from the trade, maybe two, three, five or ten times my risk on the trade.

Understanding things about myself;

- How I perceive the information in "live time."
- How easily I can identify a setup.
- Where to place my stop loss.
- Where to take profits at.
- Which trades are ones that I can add more positions into if it is confirming my trade thesis.
- How to manage the trade.

- How to manage myself so that I can grow my trading business.
- When NOT TO TRADE. No setup, NO TRADE.
- Limit my screen time, maximize my trading.
- Grow my trade sizes because they are scalable, and certain setups are sizable. (Rinse and repeat!)

If you are struggling to be consistent, and consistently profitable, then this book will help you.

The trading setups I will go through in this book show up over and over again. That is the MOST IMPORTANT concept to understand. ***They show up over and over again, AND THEY ARE SCALABLE IN SIZE.***

Read that last sentence one more time. *Rinse and Repeat.* THAT is the secret.

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Once you grasp that understanding, the next important thing to understand is that you need to become a “pattern hunting specialist.”

My job is to identify ONLY the BEST TRADE SETUPS. That is it!

Daily Process

I have broken these setups down so that my daily routine, my daily process is designed at tracking the pairs I follow looking for the trigger days and BTS, (Best Trade Setups), in the session that I am trading. I trade the New York session. (8-11 am New York time.) These setups can occur for trades in ***ANY SESSION.*** (Asia, London, or New York.)

One Good Trade

Each week I get at least one BTS on almost every single instrument I follow. That doesn't mean I hit all those trades!

I am hunting for one GREAT TRADE SETUP. Sometimes they aren't there. Or they take longer to complete their patterns outside of my timing window. Perhaps they moved in London and there is only some "low hanging fruit," left on the tree for me.

My goal is to execute one or two BTS in a session, as flawlessly as possible, lock in the profits, (if any), limit any losses, and ***GET OFF THE SCREEN!***

I have tried to put this information together for the trader who is already on the battlefield. You have been trading and educating yourself but you don't seem to be able to "crack the code," but you know you are close. There isn't any fluff inside to fill the pages, it's very specific and to the point.

Each Best Trade Setup Includes:

- A METHOD FOR IDENTIFYING TRADES
- A METHOD FOR ENTRY
- A METHOD OF ESTABLISHING AN INITIAL PROTECTIVE STOP LEVEL
- A METHOD FOR TAKING PROFITS AND / OR MOVING PROTECTIVE STOPS.
- OVERALL MONEY MANAGEMENT RULES
- PATIENCE AND DISCIPLINE

My Objective With My Playbook Setups

My objective with my Best Playbook Trading Setups has always been about low stress, high probability SCALABLE, and SIZEABLE trading setups. ***I want to make money. REAL MONEY.***

Quit Trying To Get The Direction Right

I hated myself for so many stupid things I have done in trading. I have done it all. The reality was though, that I didn't really have a plan, I didn't really show up prepared, I didn't have setups, I didn't really respect the market and manage my risk, the reality was I really had no business trading. I thought that by getting some "pips," I actually knew what I was doing. That couldn't have been any further from the truth.

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Getting "pips," and "making money," are NOT THE SAME THING.

Reality Check

Trading is the hardest way to make easy money. I believed that if you worked hard at anything you could achieve success. I had a blessed upbringing, my parents and extended family were and have always been incredibly supportive and loving. I have had EVERY opportunity in life. In most cases I always tended to succeed at whatever I went after. That isn't the case with trading. Working hard doesn't mean you will succeed in trading. In fact it can be completely the opposite.

The market stripped me down to nothing, and revealed the real me to myself.

I Had To Rebuild Myself, My Mind and My Trading

Through a slow, painful process of small breakthroughs and “aha” moments, I slowly clawed my way back. *One Good Trade* at a time.

Rewired my brain to look at the market and how to trade it completely differently.

My goal is not to know everything about the market. My goal is to make money. My thinking had to change.

Like Mark Douglas says, *“you don’t need to know what the market is going to do next to make money, but if you want to make money consistently over time, then you need to have an edge and be able to flawlessly execute that edge consistently over time.”*

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My Playbook has been a work in progress to achieve that outcome.

I had to keep culling what I considered to be garbage from my trading. *Trades that I knew were not realistically reproducible, or scalable in size, in live trading.*

I always ask myself, *“how much size could I realistically put on this trade in live time, manage my risk, and not be stressed out?”*
Could I really hold onto this trade with size in live time?”

Build A Bulletproof Trading Mindset and Routine With Reproducible and Scalable Trade Setups

I needed to have *trade setups that were about to explode, a process to help me identify these trades*, and a routine and mindset to be *patient and disciplined to only trade these setups and grow them in size over time*.

I share all this with you, because many of you are on your own journey too. I had some excellent mentors, many of whom may have only shared one golden nugget with me, but one that imprinted and impacted me permanently on my search for the Holy Grail in trading.

My Playbook of Best Trading Setups are setups that are scalable in size, repeatable, and frequent in ANY market.

My goal for you is that you can have an impact with your success. For your life, your family and friends, for generations to come.

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Thank you for trusting me and having the confidence in me to purchase this book. I have spent thousands of hours studying, testing, and trading, in live time to get to where I am at now.

This *Playbook* has come through many years of continuous joyous and painful learning.

The rewards are there, this is a winnable game.

1

Focusing on the 90 / 10 Setups

“Luck is when an opportunity comes along and you’re prepared for it.” Denzel Washington

Identifying The Best Opportunity To Trade On The Day

What instrument(s) you decide to trade can have the biggest impact on your results each day. Obviously we want to target the instrument(s) that have the **Best Trade Setups**, and will yield us the best profitable result, with the least amount of stress and risk.

Signal Days

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Signal days are one of the ways I look for BTS.

An example of a signal or “trigger” day would be, **First Green Day, First Red Day, Inside Day, Day 2 breakouts, Day 3 breakouts, Day 3 etc.**

These are days that signal the possibility of a Best Trade Setup in the next day’s trading session. For example, the GBPUSD has day 2 shorts in the market. I may have a false break in the Asian session at the LOW and the previous day’s LOD. **My main session for trading may be the London session.**

This could be an ideal candidate for an explosive 3 day reversal trade in the London session. I have a **trigger day**, this alerts me to the possibility of a trade. Now I need the **market to set up** to help

confirm my thesis, then ***I need the price action to confirm my entry at the time*** the Europe - London session is opening and trading.

The type of setup in that session will help me determine if this is just a session trade, for a scalp, (LOD to HOD), or perhaps a larger move that is sizable (LOW to HOD / HOW). Then I also want to be aware of any Major Red News on the calendar.

This trade could provide an excellent, easy, low stress BTS session scalp, and the New York session could be the larger “Low Hanging Fruit,” continuation trade later in the day.

Plan Prepare Execute

“To me, ideas are worth nothing unless executed. They are just a multiplier. Execution is worth millions.” Steve Jobs

Great trading ***strategies with edge*** don’t make you rich. The ***flawless execution*** of those trading strategies in live market conditions, consistently over time, does.

Execution is defined as the carrying out of a plan, order, or course of action.

Trading setup execution is the responsibility that makes or breaks every individual discretionary trader.

Great trades are yesterday, ***execution is today***. How well you plan, prepare and ***execute your Best Trading Setups with excellence*** will see you into tomorrow.

Everything about my daily trading process was progressively built on being able to come to the screen, and have a ***simple, concrete process*** for identifying the best opportunity in that session. Then be able to execute and manage a high probability trading opportunity ***without hesitation.***

My daily process is built on repetition. The repetition of certain market factors, yesterday's high and low, the times the different equity markets open and close, weekly and monthly high and lows, the economic calendar.

I don't want to take a lot of trades, or be at the screen for more than one or two hours a session. When I trade, I want to maximize the opportunity when it is there. ***I don't want ten trades, I want one great trade with size.***

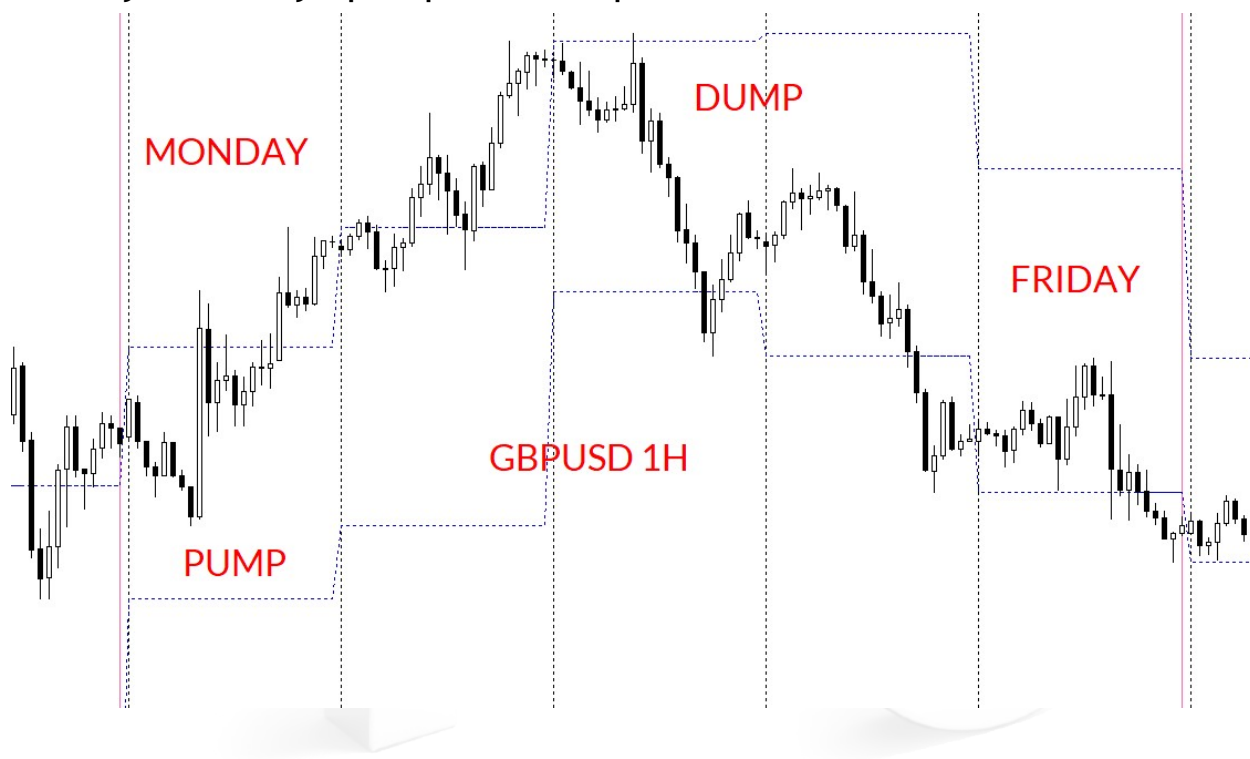
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Pump and Dump and the Dump and Pump

The general big idea is that every opportunity on any timeframe is that most market cycles are either a “pump and dump, or dump and pump.”

This is the basis for most of my Best Trading Setups Playbook. The trading setups that I focus on, are all about capturing the explosive opportunity when it comes.

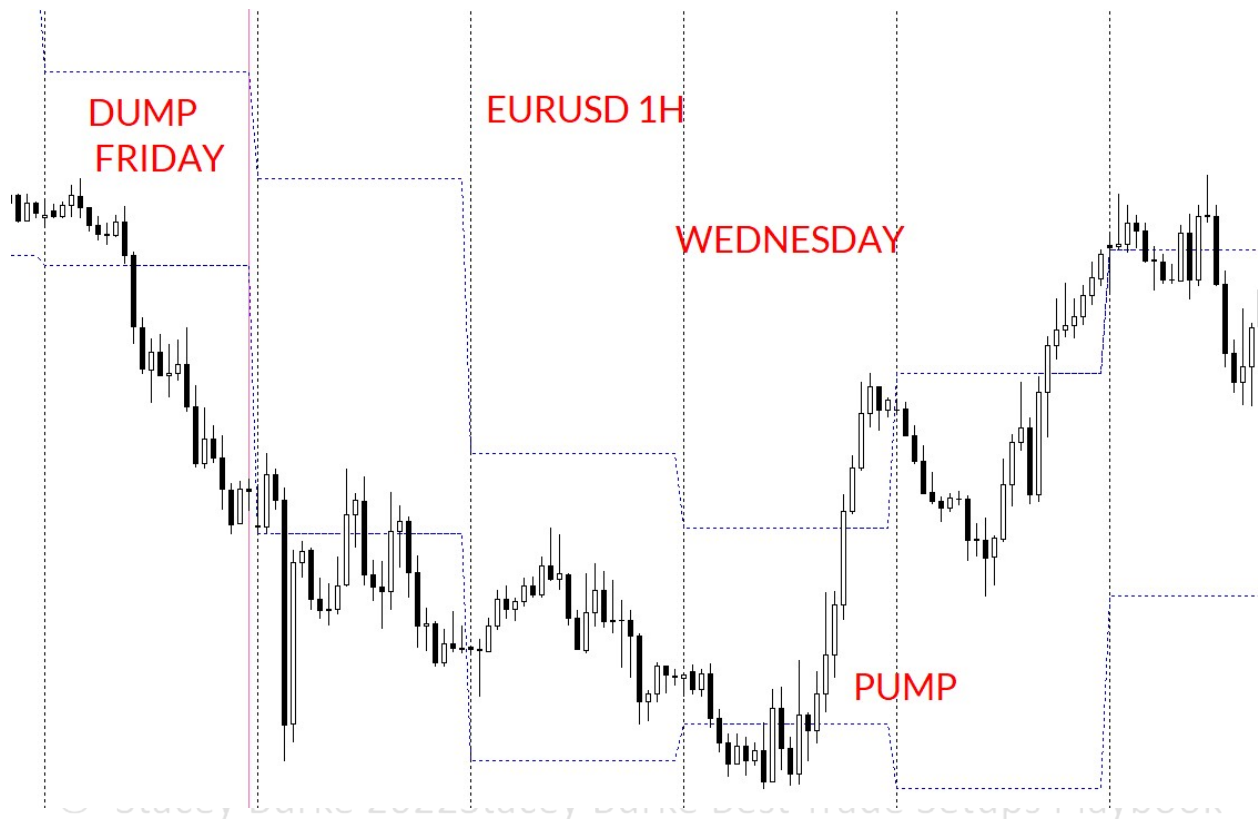
Monday to Friday “pump and dump” GBPUSD



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Friday to Friday “dump and pump” EURUSD

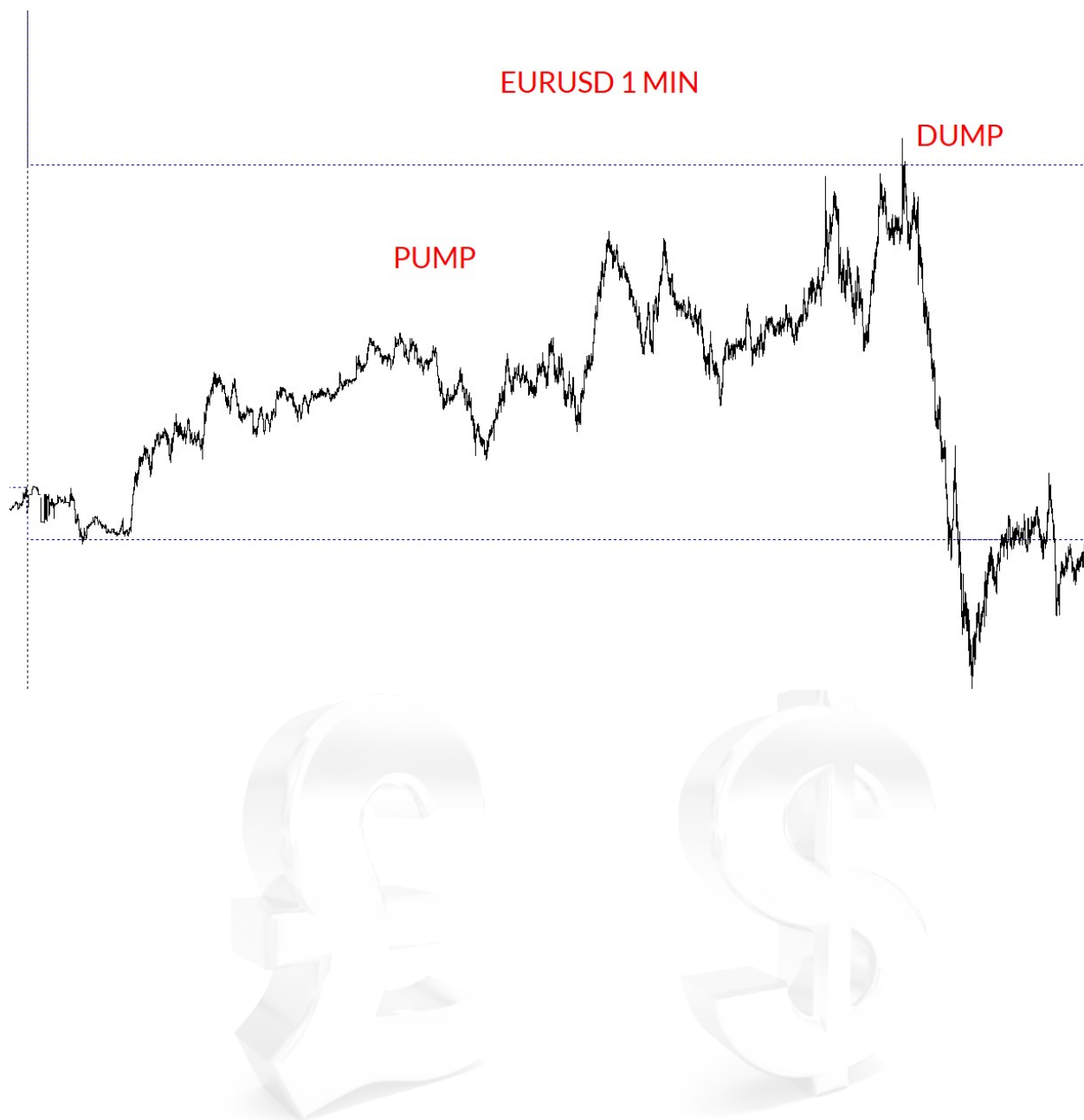


My daily process is designed to identify which markets are potentially setting up into one of these two scenarios over the week.

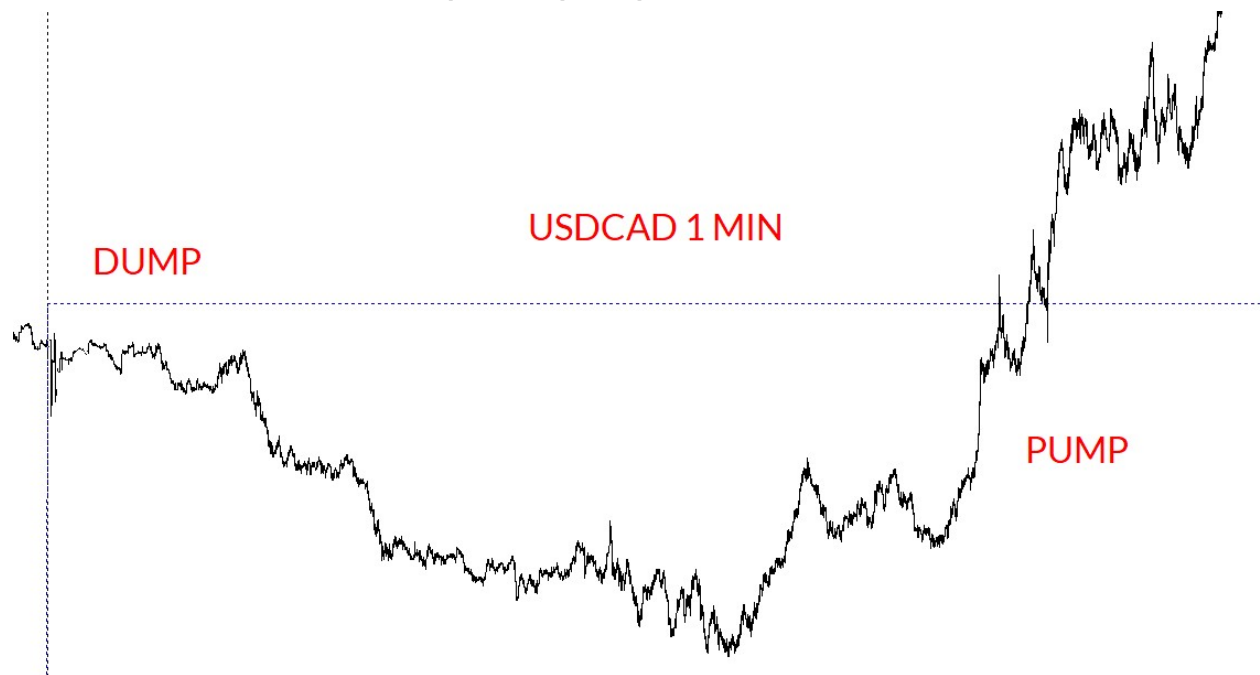
Markets are always continuously evolving, and as such, by following a small basket of instruments, there are opportunities for BTS almost everyday on at least one or two pairs. Knowing what the economic calendar has on the schedule, and then identifying which opportunity presents in the session that I am trading in. For me, that is the New York session the majority of the time.

These pump and dumps, and dump and pumps, can occur within the day itself also, for other Best Trade Setup opportunities.

EURUSD HOD-LOD pump and dump



USDCAD LOD-HOW “dump and pump” trend trade



Not all setups will be tradeable for various reasons. High impact news may make it too risky to trade, or too volatile to trade.

Sometimes, even though the market may set up as an ideal candidate, it just may not play out the way I think it will, and I will not trade it.

The opportunity has to be there. My job is to identify the best trading setup, not to try and trade moves in the market.

Why Most Traders Lose

Many traders have the knowledge, skill and technical ability to succeed trading the markets. Most retail traders consider themselves successful if they don't lose.

They have a solid trading plan, yet when they go to the live screen, they don't do anything close to what their trading plan calls for.

Self Sabotage

Indecision, impatience, uncertainty, fomo, yolo mentality, are all self sabotaging behaviors every trader has had to overcome, in order to succeed in the markets.

Why is it then, that most traders lose money over time? I can't speak for anyone else other than myself and my experiences. I think there are multiple reasons, but one of the main reasons I was inconsistent for so long was what I call ***garbage trading***.

Garbage trading is 50/50 trading. We've all heard the phrase "***All trades are 50/50.***" Nothing could be further from the truth. Getting into the market because I thought it was moving in a direction and I wanted to "catch the move and get some pips." I'd usually be wrong and get stopped out. This type of trading leads traders in a direction that reinforces bad behavior, and poor quality decision making.

Garbage trading is why most traders will lose and never be consistently profitable. They think that eventually with enough hard work, and technical study, they'll figure it out and be able to trade every move in the markets.

Garbage trading is what gets most traders into emotional, impulsive, and irrational trading. Overtrading, overleveraging, holding onto losers, not taking profits, or taking small profits, big losses, get even trading, revenge trading, get back to the high watermark trading, random, impulsive trading and the list goes on.

You can't control what the markets are going to do, but ***YOU CAN CONTROL*** what you are going to do.

My goal was not just to succeed, but to make ***real money trading the markets***. In order to do that I needed to bulletproof my trading with my setups, my process and my risk management and profitability, and my mindset.

My job is to make money, not to be right about a direction in the market. Therefore, I only focus on the setups where the odds become more heavily skewed in my favor.

The greatest form of ***risk management and profitability*** starts with culling garbage trading out of a trading plan.

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Yesterday's High and Low

Yesterday's high and low are my reference points for developing my thesis each day.

Markets only do three things:

1. Break out, pullback and **TREND**
2. Break out, stall and reverse. **FALSE BREAK REVERSAL**
3. Trade back and forth between a high level and a low level and stay range bound. **TRADING RANGE**

The basis of identifying what market conditions are evolving comes from understanding this. The type of Best Trading Setup that may present in any session comes from understanding whether or not there has been a false break, a breakout, or simply a range bound market, not just on the day, but over the course of two to three days also.

False Breaks Can Be The Beginning Of Large Moves.

There are session BTS on the day, and larger Three Day Setups over the week.

I get this market generated information from using *yesterday's high and low as reference levels, for identifying one of these three, and also for measuring potential strike zone levels within the day itself* for trade executions of certain BTS.

The high and low of the week and the month are also significant levels. When the daily, weekly or monthly levels are broken out of, this has a multitude of affects.

The Opening Range

Monday's can tell you a lot about how the week is going to trade. ***Monday sets the Opening Range for the week.*** Regardless of what trade setup I get on Monday, the Opening Range of Monday's high and low will help me establish a thesis for the week.

The Initial Balance

Monday sets the Opening Range high and low for the week. **Tuesday** may extend that range. It could become a false break, a range extension, a reversal, or maybe an inside day. ***In a large majority of weeks, by the time Monday and Tuesday has traded, the high and low extremes are in place for the week,*** and one of these will tend to hold, the other may get broken.

The Day Count

This is why I utilize the day count. This helps me identify the best possible opportunities and best setups on any given day. I don't always find the best ones, you can't possibly follow every single market.

There are plenty of great trades. Following a basket of 5-10 instruments from different markets, currency, indexes, gold, oil, gives me usually at least one great trade a day. Sometimes it may just be a high probability scalp for 25-50 pips, other days may be a great opportunity for a larger scalable three day move, for 100-250 pips.

I don't worry about the size of the move. I focus on the quality of the setup. My job is to protect my capital and only focus on the BEST opportunity on the day.

It is critical to protect your psychological capital as well as your financial capital. The best way for me to do this is stay away from garbage 50/50 markets.

Trading Times

Note: Any pair during the week may present a BTS in ANY session.

Time of day is JUST AS IMPORTANT AS PRICE.

Generally I look for these setups across the majors and mainly focus on JPY crosses as they tend to consistently move in the Asian session as does gold.

Asia Session Time: 7:00 pm - 11:00 pm New York time

Pairs: JPY crosses (AUDJPY, NZDJPY, GBPJPY, EURJPY, USDJPY, NZDUSD, AUDUSD, XAUUSD)

Other Major Pairs: EURUSD, GBPUSD, USDCHF, USDCAD

Europe / London Session Time: 1:00 am - 5 :00 am New York time

London Equity Hour : 3:00-4:00 am New York time

Pairs: EURUSD, GBPUSD, USDCHF, USDCAD, GBPJPY, EURJPY, XAUUSD

New York Session Time: 7:00 am - 11:00 am New York time

Pairs: EURUSD, GBPUSD, USDCHF, USDCAD, GBPJPY, EURJPY, XAUUSD

New York Equity Session Time: 9:30am - 11:00am

Pairs: Spot Crude, SP500, DJ30, NAS100

IMPORTANT Note: The other MOST SIGNIFICANT times importance:

- The beginning of a new **15 minute candle**
- The beginning of a new **hourly candle**
- The beginning of a new **four hour candle**
- The beginning of a **new day**
- The beginning of a **new week**
- The beginning of a **new month**
- The beginning of a **new year**

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Read the above over and over again.

Major Red News

For all of my Major Red News economic scheduled announcements I use <https://www.forexfactory.com/calendar> .

There are plenty of sites that provide the scheduled news events as well as other fundamental economic information. This is the one that I use. It is critical to know what MRN may be scheduled during the week and especially in any session that you may be trading in.

Basic Model For Trade Setups

- **Setups** are using is using the 15 minute charts
- **Entry:** for simplicity and ease of understanding entry is on a 5 minute chart with 20 ema close back inside in line with the direction of our trade.
- **Max stop loss:** 15(-20) pips currencies, 20(-25) pips gold, oil indexes
- **Profit Targets:** Will vary for each setup
- Minimum is 50 pips. Others can be 75, 100 or 100+. We will look at different examples.

Note: I ALWAYS preset a TAKE PROFIT level. I want to make sure I get paid!

I also like to be taken out sometimes when a market is potentially “blowing off.” I take the profit, and make sure I lock in the money.

If I leave a small position as a trailer, that is a bonus. The majority of the time I will close out all positions and be done.

IMPORTANT: **NO Major News** Can Be Scheduled for this trading session for a BTS to be taken. All trades if taken **MUST** be taken **AFTER** the news.

The First Bounce Trade Setup is the one I will use with a News Catalyst Momentum Trade.

If you are already in a trade before the news make sure that you lock in some profits.

I am NEVER in the market WHEN NEWS is being released.

The news can act as a catalyst to complete a move in a larger setup. (le Day 3 Reversal etc)

Don't position yourself in the market just BEFORE a Major News Release.

This can put you in a very vulnerable position. Often with a potentially volatile news release, (Non Farm Payrolls, FOMC etc) There can be massive slippage. **Even though you may have a stop in place! You could potentially experience 50 or even a 100 pips of slippage potentially.**

That isn't trading. That is GAMBLING.

My whole approach to the markets is where do I have a specific setup. The setups are what I am looking to trade. These are the setups that I have narrowed my trading down to. These are the highest probability setups that I have identified.

Don't come to the screen trying to figure out which direction you want to trade.

Come to the screen hunting for one of the 90/10 Best Trading Setups.

Best Trading Setups are how you can grow your trading business. How you can scale your trading business up in size. How you can have asymmetrical risk reward in your trades.

This is what will grow your trading business.

2

The THREE DAY SETUPS

“To anticipate the market is to gamble. To be patient and react only when the market gives the signal is to speculate.” Jesse Livermore

The “**Three Day Setup**” is my main approach to the market. All my **Best Trade Setups** come from the three day setups.

The most important thing to understand is that most of these setups are “pump and dumps,” or “dump and pumps.”

They pump, pump, pump, go sideways and drop a bit, one more small pump, then a dump. The dump can go straight down, fast.

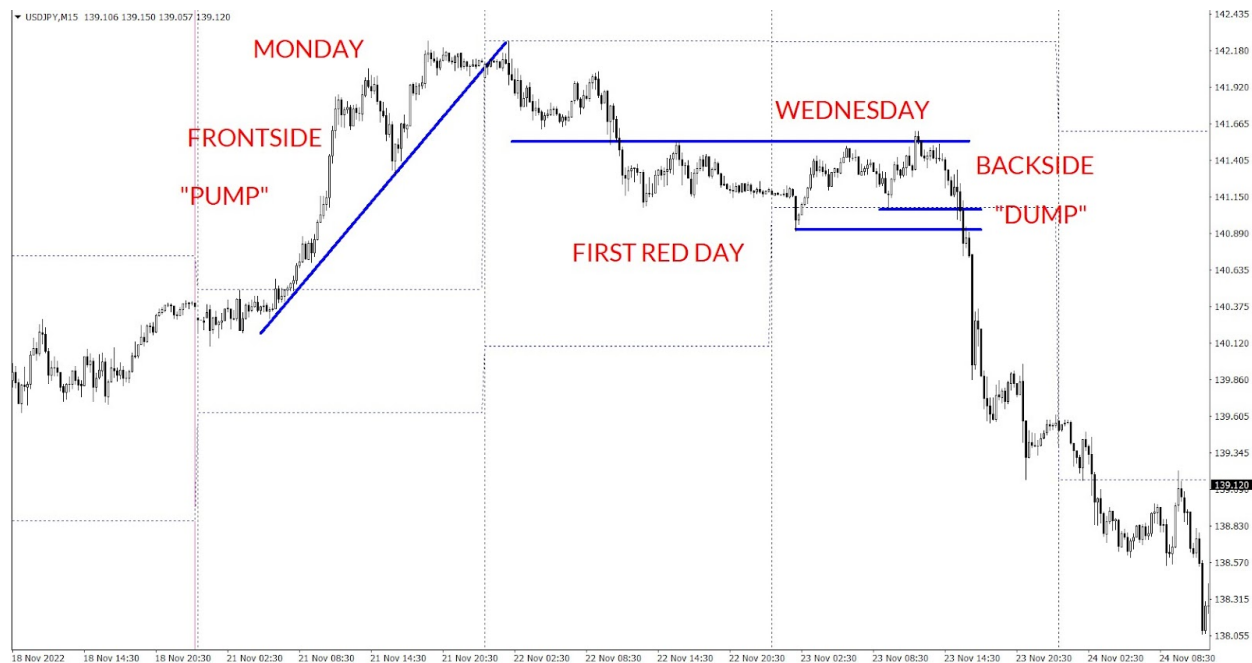
The pump up, may often be hard to trade on the first day, the price action can be choppy, and back and forth, a slow grinding auction. Other times, you are forced to “chase the move.”

One of the reasons behind this is that you are being forced to start **buying or selling** on day 1 or day 2 higher and higher, depending on the session and the price area you are trading in.

If you are selling you may be selling into a market that is still in the “pumping” phase, or on the **frontside of the move**. So if you are selling, your success may have a limited upside until the market is on the “**backside**,” or done going up.

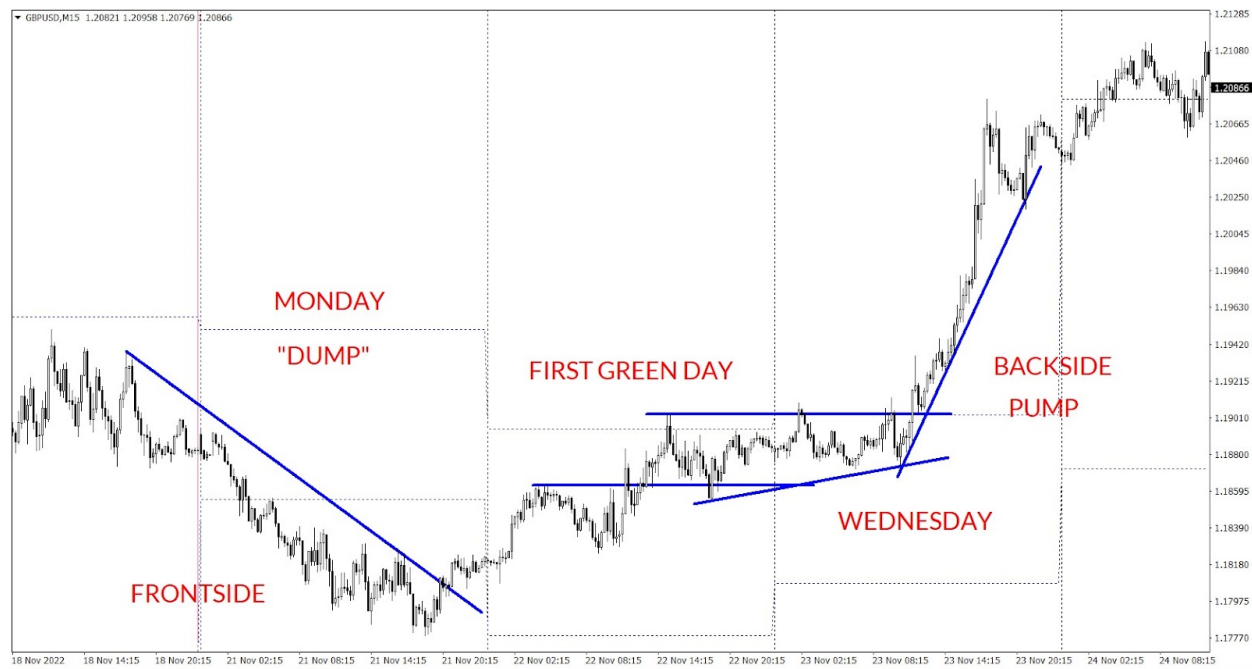
The same applies for a “Dump and Pump,” but in the opposite direction.

Pump and Dump



- **Monday** - is the “pump up day.”
- **Tuesday** - breaks down and the **close is below the open**. This is what I call the **First Red Day**. Notice also this is an “**inside day**.”
- **Wednesday** - has a nice well defined rectangular consolidation. We want a **High of the Day Sell setup** in either Asia, London or New York
- Some of the BTS will culminate in a three session (Asia, London, New York), blowoff for very large moves.

Dump and Pump



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These are just examples of the basic three day setups for selling and buying.

Depending on the session that you trade, Asia, London or New York, your ability to be positioned in these trades will vary.

Perhaps you trade the Asian session, but the market doesn't set up for a selling opportunity until the London session. It doesn't matter, there will be plenty of trades in your session.

Sometimes a big move happens in Asia on a particular instrument, sometimes London, and sometimes New York.

My job as a trader is to look for the ***best setups on instruments that trade well in the session that I trade***. There are **PLENTY** of **BEST TRADE SETUPS** in every session.

I have attached a basic flowchart of my thinking process. When the week starts I know there will most likely be a **Best Trade Setup**. It's important to step back and allow the market to set up.

Often we rush in on a Monday ready to get into the market. The flowchart lets me focus on the BTS in my session. I mainly focus on New York. If I get a **signal day though, an Inside Day close or a First Red day** for example, I will look at how Asia is set up, and I will also **draw my levels** on the chart before going to bed.

There may be a BTS in Asia. I may wake up in the morning to see a **FRD setup** that is a perfect three session setup for a New York open selloff, and NO NEWS on the schedule.

I don't know what is going to happen, but I don't stay up all night because I think there might be a trade. If I am asleep and it moves in the London session, I'll look for the **LHF** in New York. (Low Hanging Fruit.)

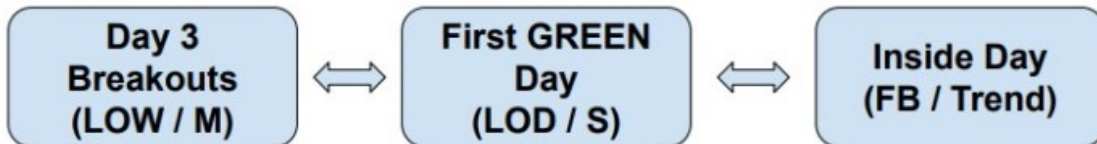
There are always opportunities, don't try and force trades. Focus on mastering your craft and understanding which trade setups are textbook perfect and ***where the odds are skewed heavily in your favor*** for a **low stress high probability profitable trade setup**.

BASIC OVERVIEW

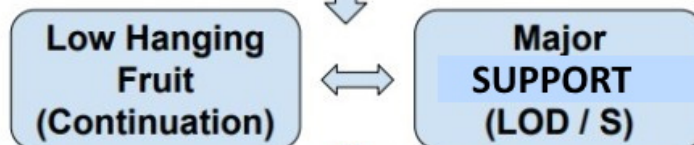
**Three Day Setup
BUY**

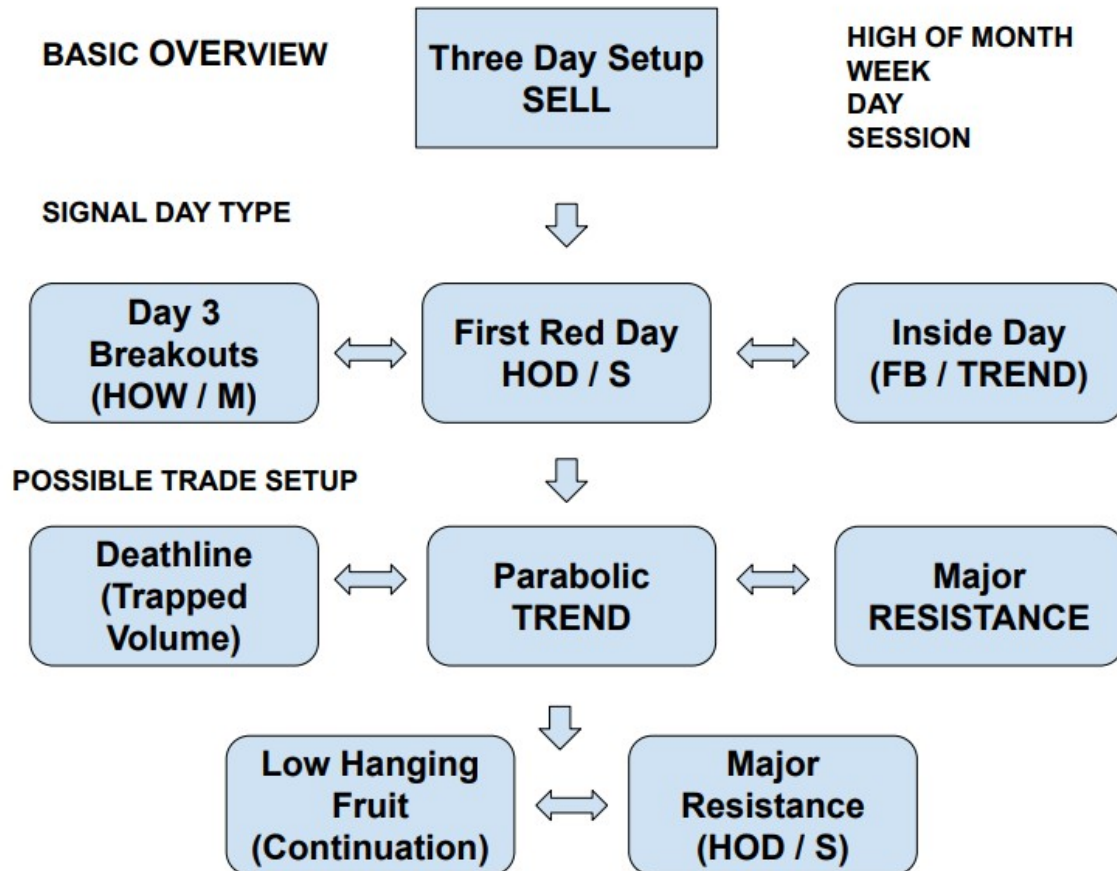
**LOW OF MONTH
WEEK
DAY
SESSION**

SIGNAL DAY TYPE



POSSIBLE TRADE SETUP





Important

If I can emphasize one important thing to you is that, larger consolidation builds over these three day cycles. Often, three days will form a large “rectangle.” It may not appear like that at first, but there will be many “buy low,” or “sell high,” opportunities that in hindsight will seem obvious.

My objective with sharing my **Playbook Best Trade Setups**, with **you**, is that you, depending on your location and time for trading, you will start to see these repeatable scalable trading setups in live time. Then start to consistently profit from them, and grow your trading account.

Three Session Setups

Similar to the Three Day Setups, there may only be an opportunity on the day within a trading session for a scalpable “three session setup.”

What is meant by that, is that perhaps the only BTS on the day may be a smaller range trade setup for a particular session. It may be a “pump and dump” from the London - New York session going up three levels of rise (3 X 25 pips = 75 pip box,) for an Asian session short trade for 50 pips.

I may be content to take this trade with smaller risk than a Three Day Setup. The trade is high probability and high conviction, but a trade that I will consider as a session trade as opposed to a sizable trade setup that has the potential to go maybe 150 pips or more.

These **Three Session Setups** typically are Pump and Dump, or Dump and Pump scenarios. “**Pump, consolidation, dump.**” Or “**dump, consolidation, pump.**”

NZDJPY Asia session trade



USDCAD Asia session trade

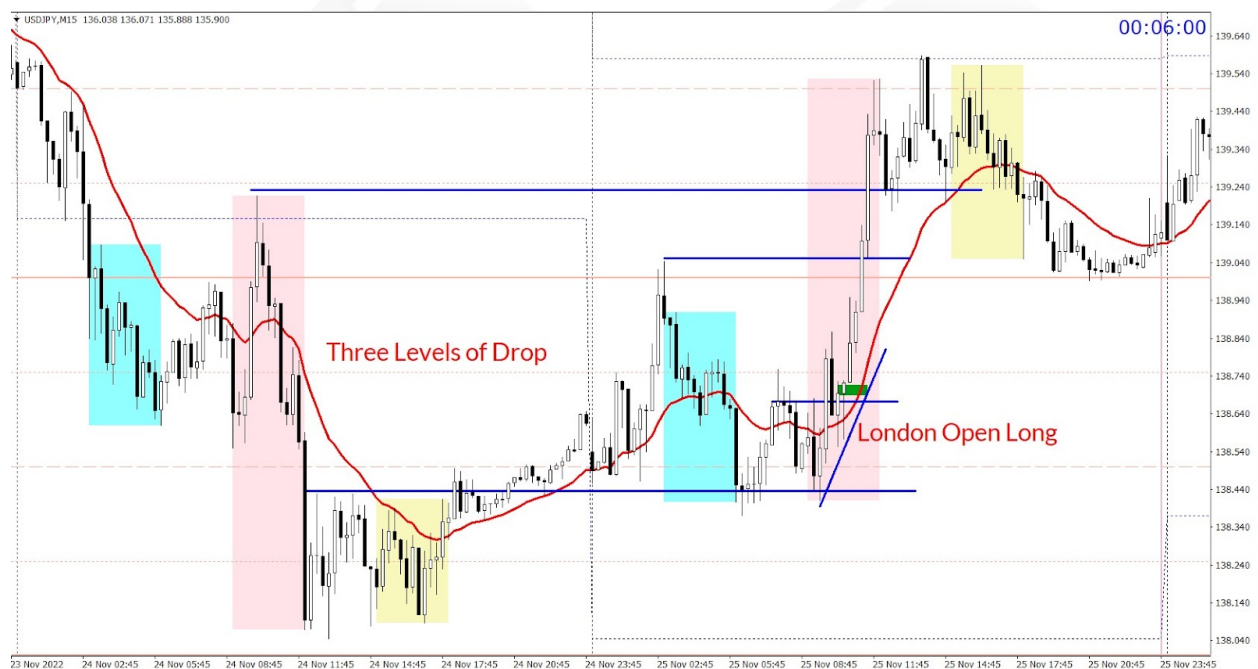


USDCHE Europe session trade



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USDJPY London session trade



Monday's Opening Range

Monday sets the **opening range** for a week. After Monday has traded, the high low distance can be useful in understanding the setups heading into the rest of the week.

What type of day was Monday?

Was it a breakout day? An Inside Day? First Red Day, First Green Day?

How far did it move?

Monday could have been a huge high of the week sell off and I missed it!

"If only I had been at the screen in London darn it! I missed that trade!"

That is how I used to think. I would think I missed the best trade of the week! And then I would try and trade some poor quality market conditions because I was "chasing the hot chick," or the market that I thought was moving.

In reality the market may often move on a Friday, Monday or Tuesday, and it **may be the beginning of a three day setup for a larger more explosive Sizeable BEST Trade Setup** later in the week.

A large move down may be the beginning of a "Dump and Pump" for a ***Parabolic Short Squeeze*** setup, or a ***First Green Day*** setup that turns into a ***Second Day Parabolic Trend*** trade setup.

So understanding how far the market moves on a Monday can help us form a thesis about how the market may be setting up.

Three Levels of Rise or Fall

Currencies 75 150 250 (300) pips (3X Levels)

Gold 150 250 (300)

Oil 150 250 (300) 500 750 pips

Indexes 250 500 750 pips

This is a general area of movement. They will often exceed some levels or not quite get there.

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Just to be clear I am not talking about what trade happened on Monday. I am talking about **the range** itself.

This helps me to understand what the opening range of movement of the beginning of the week has been.

If Monday is a large **Opening Range** I can already develop a possible **three day setup thesis**. I want to know what Major Red News is on the calendar for the week.

What type of trade setup on a Monday is a different discussion that I will cover in the **Three Day Setups**.

If the currencies move 119 pips on a Monday and Tuesday or Wednesday extend the range to 167 pips. I will be looking for a reversal set possibly with the 150 pip area as the bottom of my “box.”

If they are below that area, I am looking for the market to be “putting in a low,” or reversing over the next three to four days. (Monday- Tuesday-Wednesday)

Three Levels of fall of 50 pips per box is 150 pips. Maybe Friday was the high of the previous week and the move down started there. Monday was the second day down. We now may have a market that has dropped over 150 pips and may be starting a reversal setup for an explosive trade back up to the previous week’s high.

The opening range helps me calculate my Three Day Setup areas for where my “strike zones” can be.

If they have already moved over 150 pips and I have a Day 2 HOD short trade setup, I could be selling it into the LOW. So I want to be aware of taking profits and not holding on, as the market may be “jamming me into the low.”

Important

Note* If Monday is the Opening Range for the week, a breakout of this high-low range could be a false breakout, a trend explosion, or Monday’s high low could already be the range for the week.

Note* If Monday is a DAY 1 breakout of a previous day’s high or low, and is “inside” the previous weeks range. I don’t look to countertrend the move on a Day 1 Breakout.

If you want to read more on Opening Range Breakouts you can read Toby Crabel’s book [Opening Range Breakouts](#).

Tuesday Initial Balance

After Tuesday has traded I will have my *Initial Balance*.

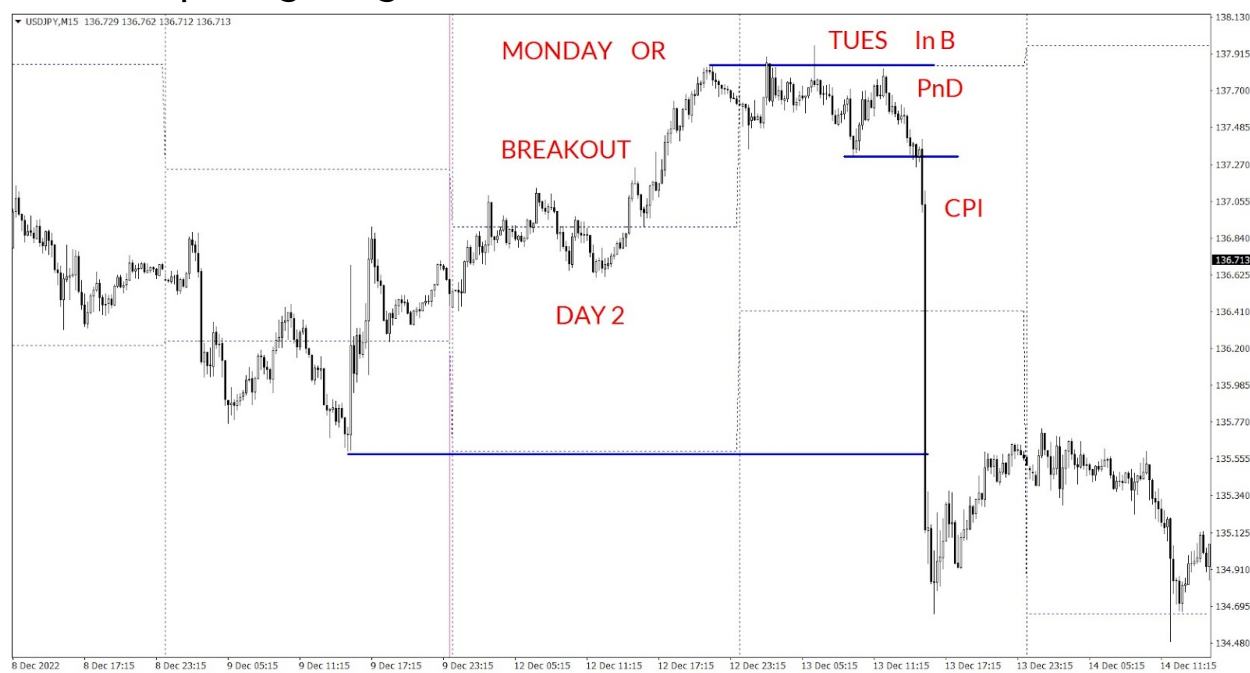
The Initial Balance (In B) is a Market Profile concept. The IB is the Range established from the first two Brackets of a [Market Profile](#).

Note* In a large percentage of weeks, by the time Monday and Tuesday have traded, the high and low for the week will be in place. In most cases, one of these levels (high-low) will tend to hold for the rest of the week.

If I have a Three Day Setup, ie FGD on a Tuesday or Wednesday, and I am confident the LOW may be “locked in,” I may have a ***Parabolic Trend trade setup*** that could explode back through the HOW for a scalable, sizeable trade setup on the day.

So to clarify, I can have trade setups that may be sizable or just scalpable on Monday and Tuesday in the session that I am trading, (HOD, LOD) but I may also have a **Three Day Best Trade Setup** for an explosive sizable trade setup also.

USDJPY Opening Range and Initial Balance



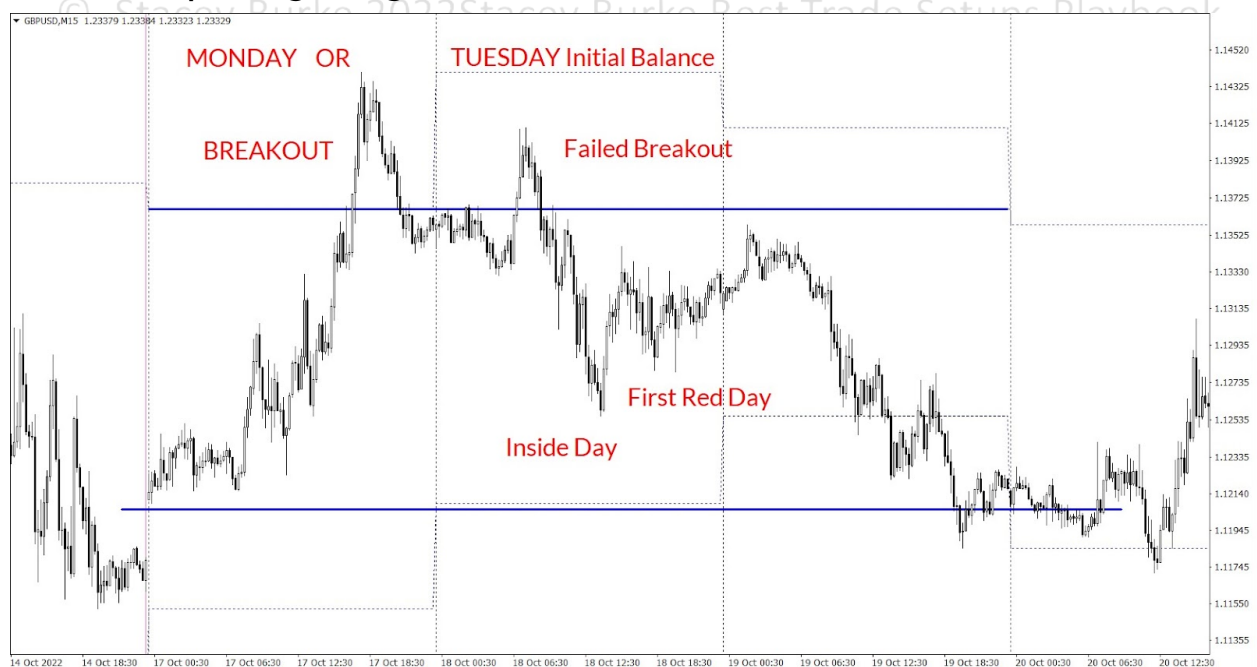
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EURUSD Opening Range and Initial Balance



NZDUSD Opening Range and Initial Balance



NAS100 Opening Range and Initial Balance



Day 1 False Breaks - Breakout Days at the HIGH or LOW of the WEEK that FAIL

An important aspect to understand about **Three Day Setups** is how they start. A basic three day setup will start with *a day that is the low or high of the week*. This day breaks out of a previous day's high or low and ends up closing back inside of the previous day's range. ***This is a failed breakout.***

Sometimes, the market may close at the high or low of the previous day's range, and then pull back inside the next day and close inside of the breakout. (Day 2)

The market will throw some subtle tricky variations at you. ***The most important thing to understand is did the breakout fail?***

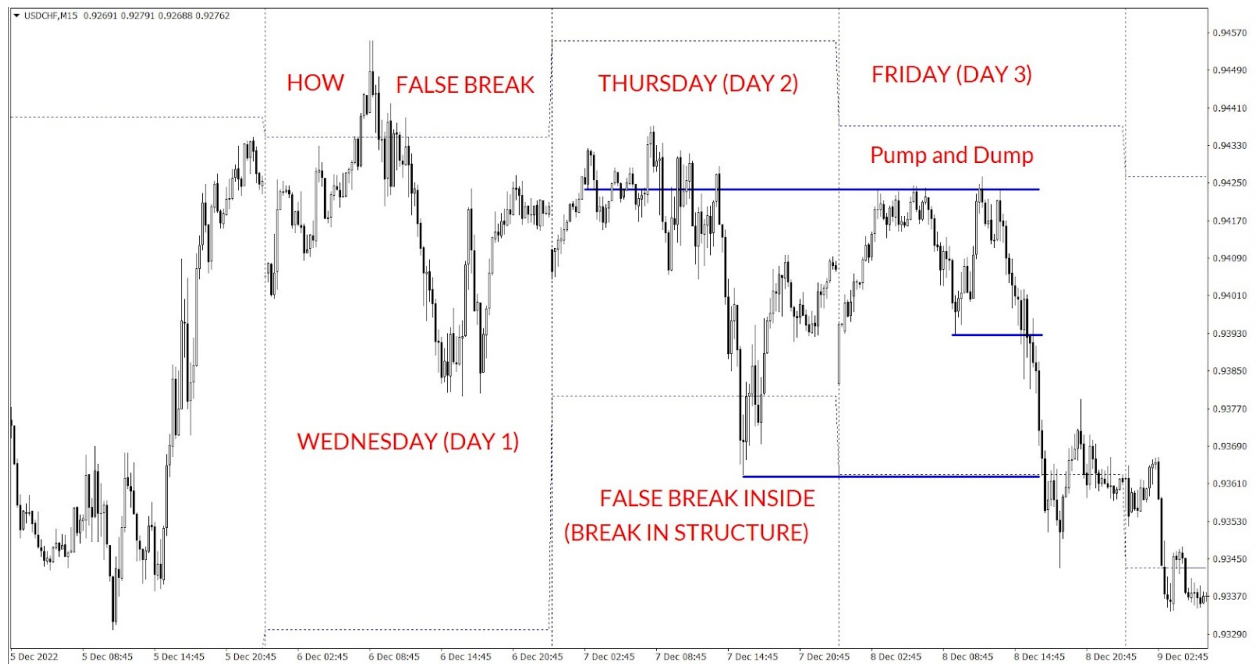
Note* A failed breakout at the high or low of the week will often begin a new Three Day Setup.

IMPORTANT: A Three Day Setup IS NOT THE SAME as DAY 3 LONGS or SHORTS triggered into the market.

These are two separate trading setups.



Three Day Setup beginning with a false break at the HOW



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Another example of this on West Texas Intermediate (WTI -oil)



A Monday closing breakout that fails and reverses on Tuesday. Tuesday closes as a **First Green Day**. It also has a false breakout from the high of Monday. It trades higher on Wednesday (Day 3), and gives a **London session HOW** short trade. It then continues and gives a **New York session FGD LOD short squeeze long trade**.

The point of this example is to demonstrate that a Three Day Setup provided traders from two different sessions, opportunities for session Best Trade Setups.

This Three Day Setup started with a LOW false break reversal day. A subtle “tricky” variation that starts the Three Day cycle.

Day 1 in our Three Day Setup starts with a FALSE BREAK from the HIGH or LOW of the WEEK.

Day 2

Day 2 is the day after our failed breakout. Day 2 can now be the start of a new BTS.

Day 2 can become a First Green Day, a First Red Day, an Inside day, a Breakout Trend day or even a Reversal day (Short Squeeze etc.

This is a very high probability Best Trade Setup.

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